



PREFACE:

The following document is a sample exam only, not an actual exam of current or former designation in any way. The questions have been constructed/ phrased in a manner that is similar to past exams, but none of these questions, to the knowledge of the MTA staff, have ever appeared on an exam. The objective of this sample exam is to give as clear an indication as possible of the question structure and language one can expect in the exam. Every reasonable effort has been taken to make these exam questions representative of what candidates will see in the exams, however the following caveats should be noted.

- Exam questions change constantly. There may be up to 25% variation in the question mix in the Level I exams from one test cycle to the next. These sample questions are patterned after a limited number of questions drawn from a much larger pool of actual exam questions. This further increases the chances that the questions appearing in the exam may be significantly different from those contained in this sample. Candidates are cautioned **not to expect** the questions from the previous years' exams to appear in the current year.
- Candidate knowledge and experience will vary. The actual exam questions may be more difficult than those represented here, though that is unintentional. A question may be more difficult for one candidate and not another.
- The sample questions cover a variety of topics; however, in the actual exam the weighting may vary, i.e. the proportion of questions drawn from different topics may be different from the pattern followed in this sample paper.
- The actual exam consists of 135 questions of which 120 are scored items. Candidates are allotted two and half hours to take the Level I exam. This sample exam should be completed in 2.5 hours to better simulate performance on the exam.

Please note that this sample question booklet has been prepared completely independently from the exam to ensure that the questions that will appear in the actual exam paper remain secure and confidential. Candidates are encouraged to utilize this resource and to discuss and clarify questions regarding the areas of the Body of Knowledge where they lack familiarity or seek better understanding.

CMT Level 1 Sample Questions – Candidate Answer Sheet

1. _____	31. _____	61. _____	91. _____
2. _____	32. _____	62. _____	92. _____
3. _____	33. _____	63. _____	93. _____
4. _____	34. _____	64. _____	94. _____
5. _____	35. _____	65. _____	95. _____
6. _____	36. _____	66. _____	96. _____
7. _____	37. _____	67. _____	97. _____
8. _____	38. _____	68. _____	98. _____
9. _____	39. _____	69. _____	99. _____
10. _____	40. _____	70. _____	100. _____
11. _____	41. _____	71. _____	101. _____
12. _____	42. _____	72. _____	102. _____
13. _____	43. _____	73. _____	103. _____
14. _____	44. _____	74. _____	104. _____
15. _____	45. _____	75. _____	105. _____
16. _____	46. _____	76. _____	106. _____
17. _____	47. _____	77. _____	107. _____
18. _____	48. _____	78. _____	108. _____
19. _____	49. _____	79. _____	109. _____
20. _____	50. _____	80. _____	110. _____
21. _____	51. _____	81. _____	111. _____
22. _____	52. _____	82. _____	112. _____
23. _____	53. _____	83. _____	113. _____
24. _____	54. _____	84. _____	114. _____
25. _____	55. _____	85. _____	115. _____
26. _____	56. _____	86. _____	116. _____
27. _____	57. _____	87. _____	117. _____
28. _____	58. _____	88. _____	118. _____
29. _____	59. _____	89. _____	119. _____
30. _____	60. _____	90. _____	120. _____

1. Which of the following statements is a recommendation of the CFA Institute Standards of Practice Handbook with regard to personal investing?
 - i. Restrictions on participation in equity IPOs
 - ii. Preclearance of significant value trades only
 - iii. Disclosure of holdings in which the employee has a beneficial interest
 - iv. Voluntary disclosure of holdings in which the employee has a beneficial interest
 - a) i and ii
 - b) i and iii
 - c) i, ii and iii
 - d) I, ii and iv

2. The mosaic theory approach means that a member:
 - a) can use material public information or nonmaterial nonpublic information in analysis.
 - b) can use material non-public information or nonmaterial public information in analysis.
 - c) violates the CFAI Code and Standards if he/she fails to have the knowledge of and comply with all applicable laws.
 - d) should include all available and relevant information in a research report in support of an investment recommendation.

3. Gaji is a financial analyst with XYZ Brokerage Firm. He is preparing a purchase recommendation on JNI Corporation. Which of the following situations is most likely to represent a conflict of interest for Elizabeth that would have to be disclosed?
 - a) Gaji's brother-in-law is a supplier to JNI.
 - b) Gaji frequently purchases items produced by JNI.
 - c) XYZ holds for its own account a substantial common stock position in JNI.
 - d) Gaji's experience with purchasing items produced by JNI has been extremely positive.

4. Emily Meyers is an analyst with a large pension management firm. Her personal portfolio includes a significant investment in MB Corp. common stock. She receives a call from the Director of Research asking her to analyze MB Corp. According to the CFAI Code and Standards, Meyers should:
 - a) sell her shares of MB Corp before completing the research report.
 - b) sell her shares of MB Corp before initiating research on the company.
 - c) disclose the ownership of the stock to her employer and in the report.
 - d) sell her shares of MB Corp, and buy a mutual fund that has a high portfolio weightage in MB Corp common stock.

5. Members must keep information about current, former and potential clients confident unless:
- Disclosure helps the members obtain further business from client's relatives and friends.
 - The information concerns illegal activities on the part of the client.
 - Disclosure of the information is required by law.
 - The client or prospective client permits disclosure.
- i, ii and iii
 - ii, iii and iv
 - ii and iii
 - iii and iv
6. TRIN index is calculated by:
- dividing total specialist short sales by total short sales.
 - subtracting the 26-day simple moving average from the 12-day simple moving average.
 - subtracting the advance/decline ratio by the ratio of advancing volume to declining volume.
 - dividing the advance/decline ratio by the ratio of advancing volume to declining volume.
7. _____ charts are the most useful, practical, and visual of all charting systems.
- Line
 - Candlestick
 - EquiVolume
 - Point & Figure
8. Of the following, which indicator is most likely to be valuable in determining when to execute a trend-following trading system?
- Average true range (ATR)
 - New Highs, New Lows index (NHNL)
 - Volume weighted average price (VWAP)
 - Directional Movement Indicator (ADX)
9. If the price makes a series of higher highs while the OBV indicator does not, it indicates:
- Sell signal
 - Bullish divergence
 - Bearish divergence
 - Both A and C

10. When analyzing candlestick price charts, a long black candlestick appearing after an uptrend with high volume, it is most likely to act as a:
- a) reversal.
 - b) continuation.
 - c) consolidation.
 - d) rising momentum.
11. When analyzing an open interest, prices are in a downtrend, and open interest is rising, it implies a:
- a) bullish sign.
 - b) bearish sign.
 - c) falling momentum.
 - d) rising momentum.
12. Unchanged issues index is calculated by:
- a) dividing the number of advancing stocks by the number of declining stocks.
 - b) subtracting the number of declining stocks from the number of advancing stocks.
 - c) subtracting the number of unchanged stocks from the number of total issues traded.
 - d) dividing the number of unchanged stocks by the number of total issues traded.
13. A candlestick that has a long lower shadow, emerging after an extended downtrend suggests that:
- a) buyers have lost momentum.
 - b) sellers have lost momentum.
 - c) both buyers and sellers have lose momentum.
 - d) lack of decisive control by either buyers or sellers.
14. A runaway gap is often found:
- a) at the end of a significant move.
 - b) in the middle of a significant move.
 - c) at the beginning of a significant move.
 - d) after the announcement of a surprising but rumored news release.
15. Which of the following candlestick pattern combines a consecutive set of sessions into a single candlestick?
- a) Blending
 - b) Marubozu
 - c) Moring star
 - d) Bullish engulfing

16. Which of the following is used to identify the potential reversal levels?

- a) The RSI
- b) The Ichimoku clouds
- c) The Fibonacci extension
- d) The Fibonacci retracement

17. An Exhaustion gap usually occurs:

- a) in the middle of the existing uptrend.
- b) at the beginning of a new trend with high volume.
- c) during the accumulation phase of the market cycle.
- d) near the end of an existing trend with high volume.

18. Which of the following retracement levels are most likely use:

- a) 62%
- b) 38%
- c) 66%
- d) Both A and B

19. Which of the following cycles is the longest by duration?

- a) Decennial Pattern
- b) Presidential Cycle
- c) Kondratieff Cycle
- d) 34-year Historical Cycle

20. Serial correlation or autocorrelation means:

- a) that there is persistence in the data.
- b) that a false correlation in the data automatically appears.
- c) there is no discernible relationship between the two variables.
- d) that the relationship between the two variables is greater than 5.

21. Which of the following types of gaps are quickest to close?

- a) Area gaps
- b) Runaway gaps
- c) Exhaustion gaps
- d) Continuation gaps

22. If the daily returns are constant, they can be converted to annualized risk by multiplying the daily return with the square root of:

- a) 252.
- b) 260.
- c) 360.
- d) 365.

23. Typically, the _____ year of a president's term posts the strongest returns for the market as per the presidential cycle.

- a) First
- b) Second
- c) Third
- d) Fourth

24. Which of the following bonds exceed rating thresholds set by S&P, Moody's and Fitch?

- a) Junk bonds
- b) High-yield bonds
- c) Investment-grade bonds
- d) Corporate Class A bonds

25. Political risk refers to:

- a) the potential of a credit rating upgrade to positively impact investments.
- b) the potential of depreciating currency to negatively impact investments.
- c) the potential of a credit rating downgrade to negatively impact investments.
- d) the potential of legislative actions to deter companies from reaching their goals.

26. Bottom-up analysis refers to an analysis of/for:

- a) the monetary policy.
- b) company fundamentals.
- c) overall economic and business condition.
- d) a specific government, company, (or) asset.

27. LIBOR is a benchmark for:

- a) Fed fund rate.
- b) Consumer loans.
- c) Commercial loans.
- d) Commercial and consumer loans.

28. If someone says that Eastern Technical Analysis and Western Technical Analysis together augment the overall recognition of trends, what are they likely to be explaining?
- a) How different cultures work together to better understand market prices.
 - b) How Shanghai markets affect New York markets and how the reverse is also true.
 - c) That Candlesticks and Bar charts have the same patterns but with different names.
 - d) That candlestick charts used with oscillators and other technical studies can be productive.

29. Calculate the real return based on the information provided below:

- The S&P 500 index fell 0.003 percent in 2015.
 - Dividends paid during the year equaled 2.089 percent of the index's value.
 - Inflation was 3.4 percent, based on the change in the Consumer Price Index (CPI) for the 10 months ended in November
- a) -2.08%
 - b) -1.30%
 - c) 1.30%
 - d) 2.08%

30. _____are securities that the U.S. government sells to borrow funds for a year or less.

- a) Debentures
- b) Treasury bills
- c) Commercial paper (CP)
- d) Certificates of deposit (CDs)

31. _____rates indicate the annual return from owning a property.

- a) Prime rate
- b) Coupon rate
- c) Fed fund rate
- d) Capitalization

32. Which of the following statements is an important assumption of the Efficient Market Hypothesis?

- a) Investors as a group will act rationally
- b) Investors as a group will act irrationally
- c) Prices typically do not reflect all available information
- d) Liquidity constraints may sometimes drive prices away from their intrinsic value

33. The CBOE Volatility Index (VIX) is a measure of:

- a) 30-day implied volatility as priced by the S&P 500 index option market.
- b) 30-day historical volatility as priced by the S&P 500 index option market.
- c) 30-day implied volatility as priced by the NYSE Composite index option market.
- d) 30-day implied volatility as priced by the NASDAQ Composite index option market.

34. Basis points are:

- a) tenth of a percentage point.
- b) one fifth of a percentage point.
- c) one third of a percentage point.
- d) hundredths of a percentage point.

35. The S&P/Case-Shiller indexes reflect:

- a) Home sales across the U.S. and in 20 metropolitan areas.
- b) Home sales across the U.K. and in 20 metropolitan areas.
- c) Home sales across the U.S. and in 10 metropolitan areas.
- d) Home sales across the U.K. and in 10 metropolitan areas.

36. The benchmark grade of U.S. oil is commonly called:

- a) NFC
- b) WTI
- c) WCS
- d) Brent

37. _____ give investors the option to sell them back before maturity.

- a) Treasury bills
- b) Puttable bonds
- c) Callable bonds
- d) Convertible bonds

38. In _____ markets, gold and other commodities are sold for immediate delivery.

- a) spot
- b) futures
- c) primary
- d) secondary

39. Which of the following is a commonly used tool by the Federal Reserve to set a target rate that is aimed at containing inflation and maximize employment?

- a) Discount rate
- b) Federal Funds rate
- c) Open market operations
- d) Bank reserve requirements

40. A symmetrical triangle pattern contains at least:

- a) two lower highs and two lower lows.
- b) two lower lows and two higher lows.
- c) two lower lows and two higher highs.
- d) two lower highs and two higher lows.

41. Breakouts from a rectangle pattern occur when:

- a) price fails at either of the bounds of the pattern.
- b) price closes outside the boundary of the pattern.
- c) price crosses the halfway point of the pattern from above.
- d) price crosses the halfway point of the pattern from below.

42. When analyzing a pattern, the top trend line is horizontal and the bottom line slopes upward, which is called as a/an:

- a) ascending triangle.
- b) descending triangle.
- c) broadening triangle.
- d) symmetrical triangle.

43. A downtrend line has:

- a) a positive slope and is formed by connecting two or more low points.
- b) a positive slope and is formed by connecting two or more high points.
- c) a negative slope and is formed by connecting two or more low points.
- d) a negative slope and is formed by connecting two or more high points.

44. A bear trap occurs when:

- a) prices fail to surpass a clear resistance level and sell off from it.
- b) prices close above a resistance level after sell signals are generated.
- c) prices breakout above a clear resistance level and fall back below it.
- d) prices recapture a violated support level after sell signals are generated.

45. In Elliott wave theory, impulse and diagonal are called:

- a) motive waves.
- b) corrective waves.
- c) triple-combination.
- d) double-combination.

46. Which of the following is CORRECT according to Elliott wave theory?

- a) Wave four can never enter the price territory of wave one
- b) Wave two can never retrace more than 100% of wave one
- c) Wave three can never be the shortest of the three impulse waves
- d) All of the above

47. In a Zigzag corrective pattern, wave C is:

- a) an impulse.
- b) an ending diagonal.
- c) a Leading diagonal.
- d) A or B.

48. For futures contract, daily volume represents:

- a) the sum of total volume and open interest.
- b) the number of contracts traded during the day.
- c) the number of outstanding contracts in any given day.
- d) the number of outstanding contracts in first day of the month.

49. The Force Index is negative_____

- a) when the previous day close is below the current day close.
- b) when the current day close is below the previous day close.
- c) when the previous day volume is greater than the current day volume.
- d) when the current day volume is greater than the previous day volume.

50. OBV indicator is:

- a) a running total of volume.
- b) acting as a leading indicator.
- c) each day's volume is added or subtracted, depending on whether prices close higher or lower than on the previous day.
- d) all of the above.

51. _____ gives the highest weightage in technology companies.
- a) The DJIA index
 - b) The S&P 500 index
 - c) The Value line index
 - d) The NASDAQ composite index
52. In a double top pattern, volume is generally:
- a) rising throughout the pattern.
 - b) constant throughout the pattern.
 - c) lower on the left top than the right.
 - d) higher on the left top than the right.
53. _____ pattern is thin, narrow price spikes and often composed of a single day or two.
- a) Eve bottom
 - b) Adam bottom
 - c) Island reversal
 - d) Dead cat bounce
54. A falling relative strength line for a stock in a rising market indicates that:
- a) price and volume are diverging.
 - b) the stock is performing better than the market.
 - c) the stock is performing worse than the market (on an absolute basis).
 - d) the stock is performing worse than the market (on a relative basis).
55. The resistance level of a price trend refers to:
- a) the target price indicated by the count.
 - b) the boundaries of the trading range of the trend.
 - c) the level under the market where buying interest is sufficiently strong to overcome selling pressure.
 - d) the level over the market where selling pressure is sufficiently strong to overcome buying pressure and a price advance is expected to be turned back.
56. When the market is under pressure, there is a net buying of _____, which will result in _____.
- a) put option, lower implied volatility
 - b) put option, higher historical volatility
 - c) call option, higher historical volatility
 - d) put option, higher implied volatility

57. _____ has historically had an inverse relationship to performance of the S&P 500 index.

- a) The VIX index
- b) The Value line index
- c) The Herrick payoff index
- d) The S&P/Case-Sheller home price index

58. Which of the following is an input of an option price model?

- a) The dividend
- b) The type of option
- c) The strike price of the option
- d) All of the above

59. In a double bottom pattern, the chart pattern confirms:

- a) when price close above the 200-day SMA.
- b) when price close above the highest peak of left bottom.
- c) when price close above the highest peak of right bottom.
- d) when price close above the highest peak between the two bottoms.

60. Dow theory uses only:

- a) High
- b) Low
- c) Close
- d) Open

61. Which of the following formations is often called a coil?

- a) Flag
- b) Wedge
- c) Zigzag
- d) Symmetrical Triangle

62. A security has just broken out of its trading range to the upside. Over the course of the next 2 days it rises an additional 5% from the point of the breakout and then returns to its prior resistance line before continuing the uptrend. What term best describes this behavior?

- a) Bull trap
- b) Pullback
- c) Throwback
- d) False breakout

63. The moving average:

- a) follows the trend.
- b) lags market action.
- c) is a smoothing device.
- d) All of the above

64. The Dow Jones Industrial Average index is a _____ weighted index.

- a) price
- b) trade
- c) equal
- d) market-cap

65. All the following are momentum oscillators EXCEPT:

- a) Stochastic.
- b) Advance/Decline line.
- c) Relative Strength Index (RSI).
- d) Moving Average Convergence Divergence (MACD).

66. A doji candlestick represents:

- a) supply exceeds demand.
- b) demand exceeds supply.
- c) stocks volatility.
- d) supply and demand are in balance.

67. A stock trades in a range between 51 and 55 for 10 days and then moves higher. If you have been charting the stock with a 3 box reversal point & figure chart, with 2 point assigned per box, what would the horizontal count be?

- a) 30 points
- b) 10 points
- c) 60 points
- d) There would be no count

68. As a general rule in rectangle, triangle, flag and pennant patterns, volume generally:

- a) show signs of accumulation.
- b) increases as the pattern develops.
- c) decreases as the pattern develops.
- d) stays constant as the pattern develops.

69. _____ occurs after a downtrend breakout from a chart pattern when price returns to the breakout point or chart pattern boundary within 30 days.

- a) A pullback
- b) A throwback
- c) A dead cat bounce
- d) A corrective wave

70. Which of the following is a reversal pattern?

- a) Flag
- b) Pennant
- c) Rising wedge
- d) consolidation

71. Which of the following usually show support or resistance?

- a) Gaps
- b) Trend line
- c) Major highs or lows
- d) All of the above

72. In Point & Figure chart, _____ determines the sensitivity, (or) frequency of signals.

- a) the box size
- b) the high pole
- c) the vertical count
- d) the horizontal count

73. Using intraday 1X1 point & figure charts, which breakout is most significant?

- a) A breakouts are of equal significance
- b) A breakout from a 5 column congestion zone
- c) A breakout from a 10 column congestion zone
- d) A breakout from a 15 column congestion zone

74. _____ mean is used in economics for price analysis.

- a) The Harmonic
- b) The Quadratic
- c) The Arithmetic
- d) The Geometric

75. You are updating point & figure charts. They are 5X1 charts. The most recent posting is \$75. The day's trading begins at \$75.55. A rally ensues that takes the stock up to the day's high of \$77.88. A decline sets in for the rest of the day and the stock closes at the low of \$71.23. How many new posting will you be making on the chart to reflect today's trading?

- a) 0
- b) 1
- c) 2
- d) 5

76. Which moving average(s) assign GREATER weight to the most recent data?

- a) Simple
- b) Weighted
- c) Exponential
- d) Both B and C

77. The Sharpe ratio is a measure of:

- a) risk.
- b) volatility.
- c) performance.
- d) standard error.

78. Kurtosis refers to the:

- a) peakedness or flatness of a distribution.
- b) amount of distortion from a symmetrical distribution.
- c) measures of dispersion that describe the shape of the data points.
- d) persistence in data that suggests future data can be predicted using past data.

79. The Treynor ratio is calculated by:

- a) the annualized return divided by annualized risk.
- b) the annualized return divided by maximum drawdown.
- c) the annual return less the risk-free return and all divided by beta.
- d) the annualized return less the risk-free return and all divided by annualized risk.

80. Objective technical analysis methods are:

- a) producing more returns.
- b) producing less returns.
- c) producing less signals.
- d) well-defined procedures that issue unambiguous signals.

81. Which of the following principles describes a characteristic of related cycles?

- a) Harmonics
- b) Phase shift
- c) Summation
- d) Fourier analysis

82. If the fund has a beta of 0.5, then it has _____ than the overall market.

- a) 5% more volatility
- b) 50% less volatility
- c) 0.5% less volatility
- d) 50% more volatility

83. Which of the following model specifically deal with bubbles and crashes:

- a) The Market Model
- b) The Shleifer Model
- c) The Capital Asset Pricing Model
- d) The Abreu-Brunnermeier Model

84. Debentures are a type of:

- a) secured loans.
- b) perpetual loans.
- c) unsecured loans.
- d) zero coupon bonds.

85. The commitment of Traders report summarizes:

- a) the positions of reporting traders on a weekly basis.
- b) the positions of non-reporting traders on a weekly basis.
- c) buying and selling by commercials and large speculators.
- d) the positions of non-reporting and reporting traders on a weekly basis.

86. A minor low is a valley separated by _____ days from a lower low.

- a) three
- b) four
- c) five
- d) seven

87. If the VIX is quoted at 30, it indicates the market is expecting a movement of about _____ percent over the next 30 days.

- a) 5.66
- b) 7.66
- c) 8.66
- d) 9.66

88. A flag is generally formed by a _____ in a bull market or a _____ in a bear market.

- a) rally, pullback
- b) rally, correction
- c) correction, rally
- d) correction, throwback

89. A combination of declining volume and rising price action is normally associated with:

- a) a weak rally
- b) a weak pullback
- c) a weak throwback
- d) a strong price trend

90. Volume spikes in downtrend reflect:

- a) retail investors are bottom-fishing.
- b) exhaustion, and suggest an imminent reversal.
- c) professionals are building fresh short exposure.
- d) confirmation, and suggest further downside continuation.

91. A bullish divergence occurs when:

- a) both prices and momentum values are rising.
- b) both prices and momentum values are falling.
- c) prices are rising while momentum values are falling.
- d) prices are falling while momentum values are rising.

92. Which of the following cycles is the shortest by duration?

- a) Decennial Pattern
- b) Kondratieff Wave
- c) Presidential Cycle
- d) 34-year Historical Cycle

93. The presence of a “fat tail” suggests that:
- a) prices are normally distributed.
 - b) trend following systems do not work.
 - c) prices are not normally distributed.
 - d) the price action of major financial instruments can be explained by random distribution.
94. When analyzing the bar charts, the closing price of each bar represents:
- a) the maximum power of bulls during that bar.
 - b) the maximum power of bears during that bar.
 - c) the maximum power of bulls and bears during that bar.
 - d) the outcome of the battle between bulls and bears during that bar.
95. As per the theory of contrary opinion, a top in the market is the point of _____ and a bottom in the market is the point of _____.
- a) maximum optimism, minimum pessimism
 - b) minimum optimism, maximum pessimism
 - c) minimum optimism, minimum pessimism
 - d) maximum optimism, maximum pessimism
96. A buy signal using the MACD indicator is generated when:
- a) the MACD line turns positive.
 - b) the MACD line turns negative.
 - c) the MACD line crosses below the signal line.
 - d) the MACD line crosses above the signal line.
97. _____ is a trade-weighted index.
- a) The S&P 500 index
 - b) The U.S. Dollar index
 - c) The Russell 2000 index
 - d) The NASDAQ composite index
98. Risk aversion refers to the assumption that investors prefer a portfolio with:
- a) lower returns that represent a lower variance in returns.
 - b) higher returns but are averse to lower variance in returns.
 - c) stable returns that represent the lowest variance in returns.
 - d) higher returns but are averse to higher variance in returns.

99. A Narrow-Range day:

- a) indicates a phase of volatility expansion.
- b) is normally preceded by a strong sell-off.
- c) indicates a phase of volatility compression.
- d) is normally preceded by a parabolic price advance.

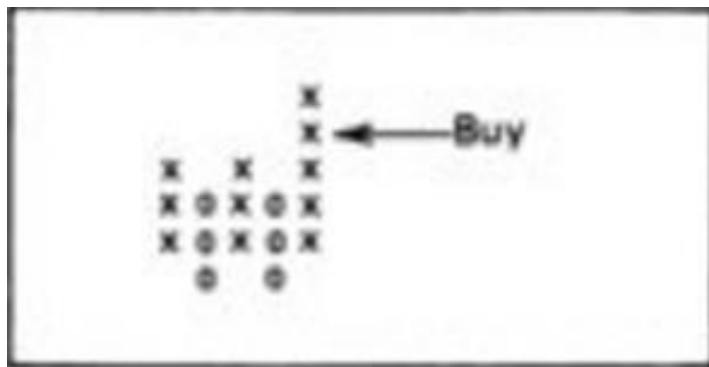
100. A curved trendline is normally useful for:

- a) stable uptrends.
- b) stable downtrends.
- c) price consolidations.
- d) parabolic price moves.

101. For calculating Money Flow Index (MFI), the typical price is calculated by:

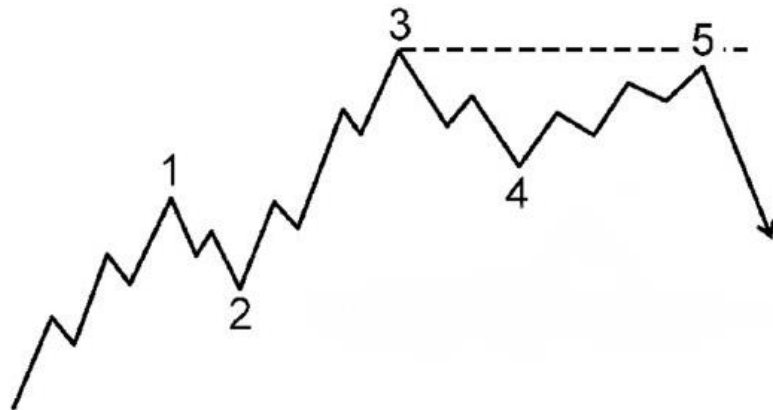
- a) the average of the daily low and close.
- b) the average of the daily high and close.
- c) the average of the daily high, low and close.
- d) the average of the daily open, high, low and close.

102. Identify the Point & Figure pattern highlighted below:



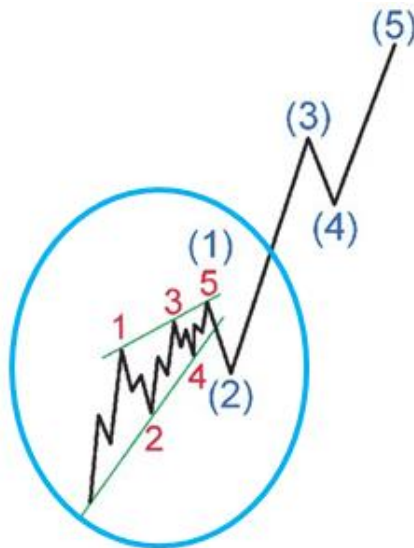
- a) Upside Breakout of a Triple Top
- b) Upside Breakout of a Spread Triple Top
- c) Upside Breakout of a Descending Triangle
- d) Upside Breakout of an Symmetric Triangle

103. The Elliott Wave pattern highlighted below is a/an:



- a) Truncation
- b) Rising Wedge
- c) Expanded Flat
- d) Ending Diagonal

104. Identify the Elliott Wave pattern highlighted (inside the blue circle) below:



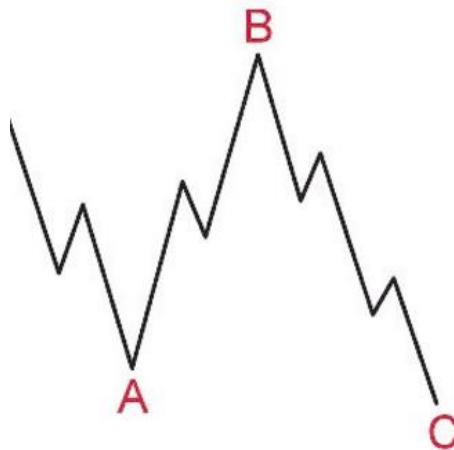
- a) Triangle
- b) Rising wedge
- c) Ending Diagonal
- d) Leading Diagonal

105. The Elliott Wave pattern highlighted below is a/an:



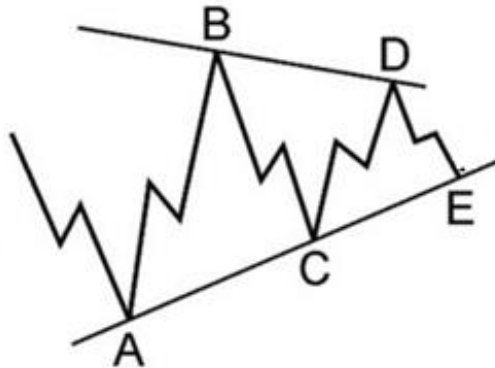
- a) flat in a bull market.
- b) flat in a bear market.
- c) zigzag in a bull market.
- d) zigzag in a bear market.

106. Identify the Elliott Wave pattern highlighted below:



- a) Zigzag in bear market
- b) Regular Flat in bear market
- c) Running Flat in bull market
- d) Expanded Flat in bull market

107. Identify the Elliott Wave pattern highlighted below:



- a) Running Triangle in bear market
- b) Contracting triangle in bull market
- c) Contracting triangle in bear market
- d) Running Triangle in bull market

108. Identify the Candlestick pattern highlighted below:



- a) Dragon Fly Doji
- b) Gravestone Doji
- c) Long-legged Doji
- d) Long Upper Shadow

109. The chart formation highlighted (inside the blue box) below is:



- a) a triple top.
- b) an island top.
- c) a double top.
- d) a three Buddha pattern.

110. Identify the candlestick pattern highlighted (inside the blue box) in the chart:



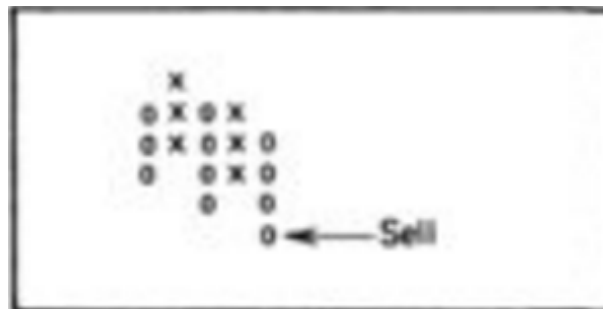
- a) Hammer
- b) Evening star
- c) Morning star
- d) Inverted hammer

111. Identify the candlestick pattern highlighted (inside the blue box) in the chart:



- a) Evening star
- b) Evening doji star
- c) Dark cloud cover
- d) Bearish engulfing

112. Identify the Point & Figure pattern highlighted below:



- a) Spread Triple Bottom
- b) Descending Triple Bottom
- c) Descending Double Bottom
- d) Breakout of a Triple Bottom

113. Which of the following patterns resonate with price action highlighted with the blue circle?



- a) Pullback
- b) Bull trap
- c) Bear trap
- d) Throwback

114. Identify the gap highlighted (black arrow) in the chart:



- a) Common Gap
- b) Runaway Gap
- c) Exhaustion Gap
- d) Breakaway Gap

115. Identify the chart formation highlighted below is a/an:



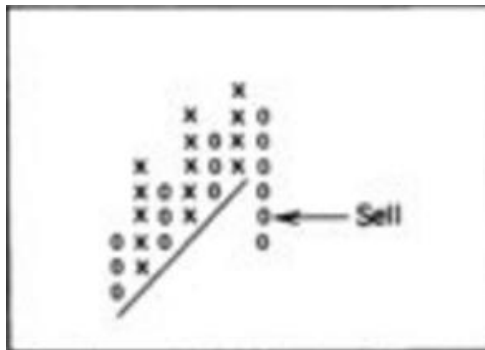
- a) Pennant
- b) Descending Triangle
- c) Ascending Triangle
- d) Broadening Triangle

116. The chart formation highlighted below is a/an:



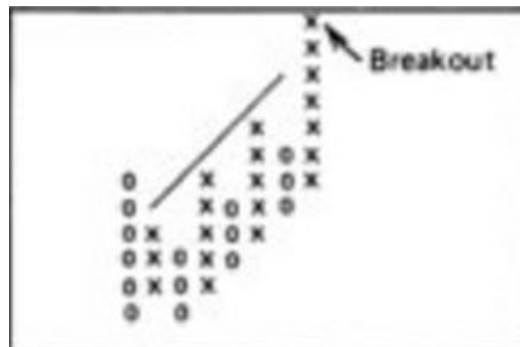
- a) Pennant
- b) Ascending Triangle
- c) Descending Triangle
- d) Symmetrical Triangle

117. Identify the Point & Figure pattern highlighted below:



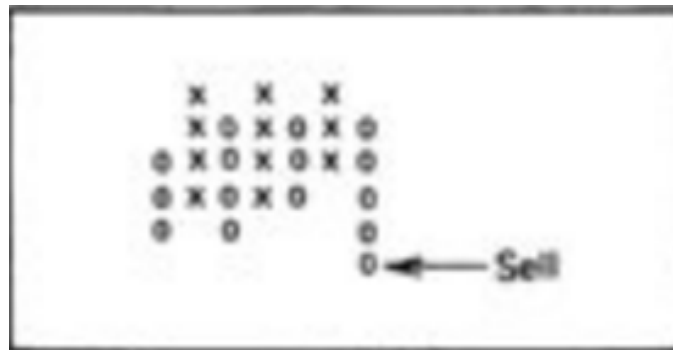
- a) Downside breakout of a double bottom
- b) Downside breakout of a bearish support line
- c) Downside breakout of an uptrend support line
- d) Downside breakout of a bullish support line

118. The Point & Figure pattern highlighted below is a:



- a) upside breakout of a bullish support line.
- b) upside breakout of a bearish support line.
- c) upside breakout of a bearish resistance line.
- d) upside breakout of a bullish resistance line.

119. The Point & Figure pattern highlighted below is a:



- a) bearish catapult.
- b) spread triple top.
- c) bearish triple bottom.
- d) spread triple bottom.

120. Identify the chart formation highlighted below is a/an:



- a) Dead Cat Bounce.
- b) Island bottom.
- c) Head and Shoulders pattern.
- d) Inverted Head and Shoulders pattern.

**CMT Level I
Sample Exam
Answers**

1. Which of the following statements is a recommendation of the CFA Institute Standards of Practice Handbook with regard to personal investing?
 - i. Restrictions on participation in equity IPOs
 - ii. Preclearance of significant value trades only
 - iii. Disclosure of holdings in which the employee has a beneficial interest
 - iv. Voluntary disclosure of holdings in which the employee has a beneficial interestb. i and iii
Reference: CFA Institute Code of Ethics and Standards
2. The mosaic theory approach means that a member:
 - a. can use material public information or nonmaterial nonpublic information in analysis.Reference: CFA Institute Code of Ethics and Standards
3. Gaji is a financial analyst with XYZ Brokerage Firm. He is preparing a purchase recommendation on JNI Corporation. Which of the following situations is most likely to represent a conflict of interest for Elizabeth that would have to be disclosed?
 - c. XYZ holds for its own account a substantial common stock position in JNI.Reference: CFA Institute Code of Ethics and Standards
4. Emily Meyers is an analyst with a large pension management firm. Her personal portfolio includes a significant investment in MB Corp. common stock. She receives a call from the Director of Research asking her to analyze MB Corp. According to the CFAI Code and Standards, Meyers should:
 - c. disclose the ownership of the stock to her employer and in the report.Reference: CFA Institute Code of Ethics and Standards
5. Members must keep information about current, former and potential clients confident unless:
 - i. Disclosure helps the members obtain further business from client's relatives and friends.
 - ii. The information concerns illegal activities on the part of the client.
 - iii. Disclosure of the information is required by law.
 - iv. The client or prospective client permits disclosure.b. ii, iii and iv.
Reference: CFA Institute Code of Ethics and Standards
6. TRIN index is calculated by:
 - d. dividing the advance/decline ratio by the ratio of advancing volume to declining volume.Reference: MTA, CMT Level I Curriculum (2016), Chapter 11
7. _____ charts are the most useful, practical, and visual of all charting systems:
 - b. CandlestickReference: MTA, CMT Level I Curriculum (2016), Chapter 10

8. Of the following, which indicator is most likely to be valuable in determining when to execute a trend-following trading system?
d. Directional Movement Indicator (ADX).
Reference: MTA, CMT Level I Curriculum (2016), Chapter 35
9. If the price makes a series of higher highs while the OBV indicator does not, it indicates:
c. Bearish divergence
Reference: MTA, CMT Level I Curriculum (2016), Chapter 36
10. When analyzing candlestick price charts, a long black candlestick appearing after an uptrend with high volume, it is most likely to act as a:
a. reversal
Reference: MTA, CMT Level I Curriculum (2016), Chapter 10
11. When analyzing an open interest, prices are in a downtrend, and open interest is rising, it implies a:
b. bearish sign
Reference: MTA, CMT Level I Curriculum (2016), Chapter 38
12. Unchanged issues index is calculated by:
d. dividing the number of unchanged stocks by the number of total issues traded.
Reference: MTA, CMT Level I Curriculum (2016), Chapter 11
13. A candlestick that has a long lower shadow, emerging after an extended downtrend suggests that::
b. sellers have lost momentum
Reference: MTA, CMT Level I Curriculum (2016), Chapter 10
14. A runaway gap is often found:
b. in the middle of a significant move
Reference: MTA, CMT Level I Curriculum (2016), Chapter 47
15. Which of the following candlestick pattern combines a consecutive set of sessions into a single candlestick?
a. Blending
Reference: MTA, CMT Level I Curriculum (2016), Chapter 10
16. Which of the following is used to identify the potential reversal levels?
d. The Fibonacci retracement
Reference: MTA, CMT Level I Curriculum (2016), Chapter 12
17. An Exhaustion gap usually occurs:
d. near the end of an existing trend with high volume.
Reference: MTA, CMT Level I Curriculum (2016), Chapter 47

18. Which of the following retracement levels are most likely use:
d. Both A and B
Reference: MTA, CMT Level I Curriculum (2016), Chapter 40
19. Which of the following cycles is the longest by duration?
c. Kondratieff Cycle
Reference: MTA, CMT Level I Curriculum (2016), Chapter 53
20. Serial correlation or autocorrelation means:
a. that there is persistence in the data.
Reference: MTA, CMT Level I Curriculum (2016), Chapter 21
21. Which of the following types of gaps are quickest to close?
a. Area gaps
Reference: MTA, CMT Level I Curriculum (2016), Chapter 47
22. If the daily returns are constant, they can be converted to annualized risk by multiplying the daily return with the square root of:
a. 252
Reference: MTA, CMT Level I Curriculum (2016), Chapter 21
23. Typically, the _____ year of a president's term posts the strongest returns for the market as per the presidential cycle.
c. Third
Reference: MTA, CMT Level I Curriculum (2016), Chapter 53
24. Which of the following bonds exceed rating thresholds set by S&P, Moody's and Fitch?
c. Investment-grade bonds
Reference: MTA, CMT Level I Curriculum (2016), Chapter 18
25. Political risk refers to:
d. the potential of legislative actions to deter companies from reaching their goals.
Reference: MTA, CMT Level I Curriculum (2016), Chapter 16
26. Bottom-up analysis refers to an analysis of/for:
d. a specific government, company, (or) asset.
Reference: MTA, CMT Level I Curriculum (2016), Chapter 16
27. LIBOR is a benchmark for:
d. Commercial and consumer loans.
Reference: MTA, CMT Level I Curriculum (2016), Chapter 18

28. If someone says that Eastern Technical Analysis and Western Technical Analysis together augment the overall recognition of trends, what are they likely to be explaining?
d. That candlestick charts used with oscillators and other technical studies can be productive.
Reference: MTA, CMT Level I Curriculum (2016), Chapter 12

29. Calculate the real return based on the information provided below:
- The S&P 500 index fell 0.003 percent in 2015.
 - Dividends paid during the year equaled 2.089 percent of the index's value.
 - Inflation was 3.4 percent, based on the change in the Consumer Price Index (CPI) for the 10 months ended in November

b. -1.30%

Reference: MTA, CMT Level I Curriculum (2016), Chapter 16

30. _____ are securities that the U.S. government sells to borrow funds for a year or less.
b. Treasury bills

Reference: MTA, CMT Level I Curriculum (2016), Chapter 18

31. _____ rates indicate the annual return from owning a property.
d. Capitalization

Reference: MTA, CMT Level I Curriculum (2016), Chapter 19

32. Which of the following statements is an important assumption of the Efficient Market Hypothesis?

a. Investors as a group will act rationally

Reference: MTA, CMT Level I Curriculum (2016), Chapter 41

33. The CBOE Volatility Index (VIX) is a measure of:
a. 30-day implied volatility as priced by the S&P 500 index option market.

Reference: MTA, CMT Level I Curriculum (2016), Chapter 52

34. Basis points are:
d. hundredths of a percentage point.

Reference: MTA, CMT Level I Curriculum (2016), Chapter 17

35. The S&P/Case-Shiller indexes reflect:
a. Home sales across the U.S. and in 20 metropolitan areas.

Reference: MTA, CMT Level I Curriculum (2016), Chapter 19

36. The benchmark grade of U.S. oil is commonly called:
b. WTI

Reference: MTA, CMT Level I Curriculum (2016), Chapter 19

37. _____ give investors the option to sell them back before maturity.
b. Putable Bonds
Reference: MTA, CMT Level I Curriculum (2016), Chapter 18
38. In _____ markets, gold and other commodities are sold for immediate delivery.
a. spot
Reference: MTA, CMT Level I Curriculum (2016), Chapter 19
39. Which of the following is a commonly used tool by the Federal Reserve to set a target rate that is aimed at containing inflation and maximize employment?
c. Open market operations
Reference: MTA, CMT Level I Curriculum (2016), Chapter 18
40. A symmetrical triangle pattern contains at least:
d. two lower highs and two higher lows.
Reference: MTA, CMT Level I Curriculum (2016), Chapter 48
41. Breakouts from a rectangle pattern occur when:
b. price closes outside the boundary of the pattern.
Reference: MTA, CMT Level I Curriculum (2016), Chapter 48
42. When analyzing a pattern, the top trend line is horizontal and the bottom line slopes upward, which is called as a/an:
a. ascending triangle.
Reference: MTA, CMT Level I Curriculum (2016), Chapter 48
43. A downtrend line has:
d. a negative slope and is formed by connecting two or more high points.
Reference: MTA, CMT Level I Curriculum (2016), Chapter 34
44. A bear trap occurs when:
d. prices recapture a violated support level after sell signals are generated.
Reference: MTA, CMT Level I Curriculum (2016), Chapter 34
45. In Elliott wave theory, impulse and diagonal are called:
a. motive waves.
Reference: MTA, CMT Level I Curriculum (2016), Chapter 39
46. Which of the following is CORRECT according to Elliott wave theory?
d. All of the above
Reference: MTA, CMT Level I Curriculum (2016), Chapter 39

47. In a Zigzag corrective pattern, wave C is:
d. A or B
Reference: MTA, CMT Level I Curriculum (2016), Chapter 39
48. For futures contract, daily volume represents:
b. the number of contracts traded during the day.
Reference: MTA, CMT Level I Curriculum (2016), Chapter 38
49. The Force Index is negative_____
b. when the current day close is below the previous day close
Reference: MTA, CMT Level I Curriculum (2016), Chapter 37
50. OBV indicator is:
d. all of the above
Reference: MTA, CMT Level I Curriculum (2016), Chapter 36
51. _____ gives the highest weightage in technology companies.
d. The NASDAQ composite index
Reference: MTA, CMT Level I Curriculum (2016), Chapter 20
52. In a double top pattern, volume is generally:
d. higher on the left top than the right
Reference: MTA, CMT Level I Curriculum (2016), Chapter 49
53. _____ pattern is thin, narrow price spikes and often composed of a single day or two.
b. Adam bottom
Reference: MTA, CMT Level I Curriculum (2016), Chapter 12
54. A falling relative strength line for a stock in a rising market indicates that:
d. the stock is performing worse than the market (on a relative basis)
Reference: MTA, CMT Level I Curriculum (2016), Chapter 54
55. The resistance level of a price trend refers to:
d. the level over the market where selling pressure is sufficiently strong to overcome buying pressure and a price advance is expected to be turned back
Reference: MTA, CMT Level I Curriculum (2016), Chapter 34
56. When the market is under pressure, there is a net buying of_____, which will result in_____.
d. put option, higher implied volatility
Reference: MTA, CMT Level I Curriculum (2016), Chapter 51
57. _____has historically had an inverse relationship to performance of the S&P 500 index:
a. The VIX index
Reference: MTA, CMT Level I Curriculum (2016), Chapter 52

58. Which of the following is an input of an option price model?

d. All of the above

Reference: MTA, CMT Level I Curriculum (2016), Chapter 51

59. In a double bottom pattern, the chart pattern confirms:

d. when price close above the highest peak between the two bottoms.

Reference: MTA, CMT Level I Curriculum (2016), Chapter 49

60. Dow theory uses only:

c. Close

Reference: MTA, CMT Level I Curriculum (2016), Chapter 2

61. Which of the following formations is often called a coil?

d. Symmetrical Triangle

Reference: MTA, CMT Level I Curriculum (2016), Chapter 48

62. A security has just broken out of its trading range to the upside. Over the course of the next 2 days it rises an additional 5% from the point of the breakout and then returns to its prior resistance line before continuing the uptrend. What term best describes this behavior?

c. Throwback

Reference: MTA, CMT Level I Curriculum (2016), Chapter 47

63. The moving average:

d. All of the above

Reference: MTA, CMT Level I Curriculum (2016), Chapter 26

64. The Dow Jones Industrial Average index is a _____ weighted index.

a. price

Reference: MTA, CMT Level I Curriculum (2016), Chapter 20

65. All the following are momentum oscillators EXCEPT:

b. Advance/Decline line

Reference: MTA, CMT Level I Curriculum (2016), Chapter 8

66. A doji candlestick represents:

d. supply and demand are in balance.

Reference: MTA, CMT Level I Curriculum (2016), Chapter 10

67. A stock trades in a range between 51 and 55 for 10 days and then moves higher. If you have been charting the stock with a 3 box reversal point & figure chart, with 2 point assigned per box, what would the horizontal count be?

d. There would be no count

Reference: MTA, CMT Level I Curriculum (2016), Chapter 22

68. As a general rule in rectangle, triangle, flag and pennant patterns, volume generally:
c. decreases as the pattern develops
Reference: MTA, CMT Level I Curriculum (2016), Chapter 48
69. _____ occurs after a downtrend breakout from a chart pattern when price returns to the breakout point or chart pattern boundary within 30 days.
a. A pullback
Reference: MTA, CMT Level I Curriculum (2016), Chapter 47
70. Which of the following is a reversal pattern?
c. Rising wedge
Reference: MTA, CMT Level I Curriculum (2016), Chapter 14
71. Which of the following usually show support or resistance?
d. All of the above
Reference: MTA, CMT Level I Curriculum (2016), Chapter 34
72. In Point & Figure chart, _____ determines the sensitivity, (or) frequency of signals.
a. the box size
Reference: MTA, CMT Level I Curriculum (2016), Chapter 52
73. Using intraday 1X1 point & figure charts, which breakout is most significant?
d. A breakout from a 15 column congestion zone
Reference: MTA, CMT Level I Curriculum (2016), Chapter 22
74. _____ mean is used in economics for price analysis.
d. The Geometric
Reference: MTA, CMT Level I Curriculum (2016), Chapter 21
75. You are updating point & figure charts. They are 5X1 charts. The most recent posting is \$75. The day's trading begins at \$75.55. A rally ensues that takes the stock up to the day's high of \$77.88. A decline sets in for the rest of the day and the stock closes at the low of \$71.23. How many new posting will you be making on the chart to reflect today's trading?
a. 0 (zero)
Reference: MTA, CMT Level I Curriculum (2016), Chapter 22
76. Which moving average(s) assign GREATER weight to the most recent data?
d. Both B and C
Reference: MTA, CMT Level I Curriculum (2016), Chapter 26
77. The Sharpe ratio is a measure of:
c. performance
Reference: MTA, CMT Level I Curriculum (2016), Chapter 21

78. Kurtosis refers to the:
a. peakedness or flatness of a distribution
Reference: MTA, CMT Level I Curriculum (2016), Chapter 21
79. The Treynor ratio is calculated by:
c. the annual return less the risk-free return and all divided by beta.
Reference: MTA, CMT Level I Curriculum (2016), Chapter 21
80. Objective technical analysis methods are:
d. well-defined procedures that issue unambiguous signals.
Reference: MTA, CMT Level I Curriculum (2016), Chapter 23
81. Which of the following principles describes a characteristic of related cycles?
a. Harmonics
Reference: MTA, CMT Level I Curriculum (2016), Chapter 53
82. If the fund has a beta of 0.5, then it has _____ than the overall market.
b. 50% less volatility
Reference: MTA, CMT Level I Curriculum (2016), Chapter 21
83. Which of the following model specifically deal with bubbles and crashes:
d. The Abreu-Brunnermeier Model
Reference: MTA, CMT Level I Curriculum (2016), Chapter 45
84. Debentures are a type of:
c. unsecured loans
Reference: MTA, CMT Level I Curriculum (2016), Chapter 18
85. The commitment of Traders report summarizes:
c. buying and selling by commercials and large speculators.
Reference: MTA, CMT Level I Curriculum (2016), Chapter 9
86. A minor low is a valley separated by _____ days from a lower low.
c. five
Reference: MTA, CMT Level I Curriculum (2016), Chapter 42
87. If the VIX is quoted at 30, it indicates the market is expecting a movement of about _____ percent over the next 30 days.
c. 8.66
Reference: MTA, CMT Level I Curriculum (2016), Chapter 52

88. A flag is generally formed by a _____ in a bull market or a _____ in a bear market.
c. correction, rally
Reference: MTA, CMT Level I Curriculum (2016), Chapter 48
89. A combination of declining volume and rising price action is normally associated with:
a. a weak rally
Reference: MTA, CMT Level I Curriculum (2016), Chapter 48
90. Volume spikes in downtrend reflect:
b. exhaustion, and suggest an imminent reversal
Reference: MTA, CMT Level I Curriculum (2016), Chapter 13
91. A bullish divergence occurs when:
d. prices are falling while momentum values are rising.
Reference: MTA, CMT Level I Curriculum (2016), Chapter 13
92. Which of the following cycles is the shortest by duration?
c. Presidential Cycle
Reference: MTA, CMT Level I Curriculum (2016), Chapter 53
93. The presence of a “fat tail” suggests that:
c. prices are not normally distributed
Reference: MTA, CMT Level I Curriculum (2016), Chapter 21
94. When analyzing the bar charts, the closing price of each bar represents:
d. the outcome of the battle between bulls and bears during that bar
Reference: MTA, CMT Level I Curriculum (2016), Chapter 11
95. As per the theory of contrary opinion, a top in the market is the point of _____ and a bottom in the market is the point of _____.
d. maximum optimism, maximum pessimism
Reference: MTA, CMT Level I Curriculum (2016), Chapter 25
96. A buy signal using the MACD indicator is generated when:
d. the MACD line crosses above the signal line.
Reference: MTA, CMT Level I Curriculum (2016), Chapter 13
97. _____ is a trade-weighted index.
b. The U.S. Dollar index
Reference: MTA, CMT Level I Curriculum (2016), Chapter 20
98. Risk aversion refers to the assumption that investors prefer a portfolio with:
d. higher returns but are averse to higher variance in returns
Reference: MTA, CMT Level I Curriculum (2016), Chapter 4

99. A Narrow-Range day:
c. indicates a phase of volatility compression
Reference: MTA, CMT Level I Curriculum (2016), Chapter 10
100. A curved trendline is normally useful for:
d. parabolic price moves
Reference: MTA, CMT Level I Curriculum (2016), Chapter 34
101. For calculating Money Flow Index (MFI), the typical price is calculated by:
c. the average of the daily high, low and close.
Reference: MTA, CMT Level I Curriculum (2016), Chapter 11
102. Identify the Point & Figure pattern highlighted below:
a. Upside Breakout of a Triple Top
Reference: MTA, CMT Level I Curriculum (2016), Chapter 22
103. The Elliott Wave pattern highlighted below is a/an:
a. Truncation
Reference: MTA, CMT Level I Curriculum (2016), Chapter 39
104. Identify the Elliott Wave pattern highlighted (inside the blue circle) below:
d. Leading Diagonal
Reference: MTA, CMT Level I Curriculum (2016), Chapter 39
105. The Elliott Wave pattern highlighted below is a/an:
d. zigzag in a bear market
Reference: MTA, CMT Level I Curriculum (2016), Chapter 39
106. Identify the Elliott Wave pattern highlighted below:
d. Expanded Flat in bull market
Reference: MTA, CMT Level I Curriculum (2016), Chapter 40
107. Identify the Elliott Wave pattern highlighted below:
d. Running Triangle in bull market
Reference: MTA, CMT Level I Curriculum (2016), Chapter 39
108. Identify the Candlestick pattern highlighted below:
b. Gravestone Doji
Reference: MTA, CMT Level I Curriculum (2016), Chapter 10
109. The chart formation highlighted (inside the blue box) below is:
c. a double top
Reference: MTA, CMT Level I Curriculum (2016), Chapter 49

110. Identify the candlestick pattern highlighted (inside the blue box) in the chart:
c. Morning star
Reference: MTA, CMT Level I Curriculum (2016), Chapter 10
111. Identify the candlestick pattern highlighted (inside the blue box) in the chart:
d. Bearish engulfing
Reference: MTA, CMT Level I Curriculum (2016), Chapter 10
112. Identify the Point & Figure pattern highlighted below:
b. Descending Triple Bottom
Reference: MTA, CMT Level I Curriculum (2016), Chapter 22
113. Which of the following patterns resonate with price action highlighted with the blue circle?
d. Throwback
Reference: MTA, CMT Level I Curriculum (2016), Chapter 47
114. Identify the gap highlighted (black arrow) in the chart:
d. Breakaway gap
Reference: MTA, CMT Level I Curriculum (2016), Chapter 11
115. Identify the chart formation highlighted below is a/an:
a. Pennant
Reference: MTA, CMT Level I Curriculum (2016), Chapter 48
116. The chart formation highlighted below is a/an:
d. Symmetrical Triangle
Reference: MTA, CMT Level I Curriculum (2016), Chapter 48
117. Identify the Point & Figure pattern highlighted below:
d. Downside breakout of a bullish support line
Reference: MTA, CMT Level I Curriculum (2016), Chapter 22
118. The Point & Figure pattern highlighted below is a:
d. upside breakout of a bullish resistance line.
Reference: MTA, CMT Level I Curriculum (2016), Chapter 22
119. The Point & Figure pattern highlighted below is a:
d. spread triple bottom
Reference: MTA, CMT Level I Curriculum (2016), Chapter 22
120. Identify the chart formation highlighted below is a/an:
d. Inverted Head & Shoulders pattern
Reference: MTA, CMT Level I Curriculum (2016), Chapter 50